

Five Forces

Michael E. Porter

DEFINITION

Industry attractiveness is set by five structural forces, not by competitors alone.

KEY POINTS

- Rivalry among existing competitors sits at the centre
- Threat of new entrants and of substitutes bound it
- Bargaining power of buyers and of suppliers flank it
- Use when the question concerns industry structure or profitability

REFERENCE

Porter, M.E. (1980) *Competitive Strategy: Techniques for Analyzing Industries and Competitors*. New York: Free Press.